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PRODUCTIVE CONVERSATION: PM

Modi, Trump review trade, defence ties

First conversation after US's Russia sanctions law

Shubhajit Roy
New Delhi, September 30



PM Narendra Modi with US President Donald Trump at the G7 Summit in France in June.
PMINDIA.GOV.IN

IN THEIR first phone conversation since the enactment of the US law which authorises tariffs of up to 100 per cent on countries purchasing Russian oil and gas, including India and China, Prime Minister Narendra Modi and US President Donald Trump on Wednesday reviewed progress in bilateral cooperation across trade, defence, energy, critical technologies and other areas of mutual interest.

“Had a productive conversation with President Trump. We reviewed our bilateral cooperation in trade, defence, energy, critical technologies and other areas. We agreed to maintain close engagement to take our Comprehensive Global Strategic Partnership forward,” Modi said in a post on X.

“We also exchanged views on regional and international issues, including ongoing efforts to advance global peace and security,” he said.

“They reaffirmed their commitment to advancing the

India-US Comprehensive Global Strategic Partnership and agreed to maintain close engagement to deepen cooperation for the benefit of the people of both countries,” the Prime Minister's Office (PMO) said in a statement.

The two leaders also exchanged views on regional and international developments and discussed ongoing efforts to promote global peace and security, it said, adding that “both leaders agreed to remain in touch”.

Modi is expected to travel to the US for the G20 leaders' summit in December this year. Before that, US Secretary of State Marco Rubio is expected to travel to India in the third week of October.

(PTI adds: Commerce and Industry Minister Piyush Goyal
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Modi and Trump

is currently in the US for the G20 trade ministers' meeting. On the sidelines, he will meet US Trade Representative Jamieson Greer.)

Earlier this month, Chinese President Xi Jinping was in the US, from September 23 to 25, and had bilateral talks with Trump.

The conversation between Modi and Trump took place a day after External Affairs Minister S Jaishankar, while underlining the complex nature of the India-US trade deal negotiations, said the two sides have reached a situation where there is "more or less an understanding on the trade agreement".

Flagging terrorism emanating from Pakistan as a key concern for India, he said if this is "not fully appreciated" by the US, then it has "an impact" on Delhi's relationship with Washington. Jaishankar was speaking at the Asia Society Policy Insti-

tute in New York, after spending an entire week at the UN General Assembly session.

On the India-US trade negotiations, Jaishankar pointed to the "stakes" and "complexity" involved. "Bear in mind, India is a society of small producers, small agriculture producers, small factories. Apart from the per capita gap between India and the US, the nature of production, nature of society is very different," he said.

"A trade negotiation required a certain amount of... patience and detailing to see it through... the expectation that it could rapidly move forward, I think, was tested against a ground reality which was much more complex," he said.

"Today, we have reached a situation where there is more or less an understanding on the trade agreement."

BIG PUSH TOWARDS 900 GW NON-FOSSIL CAPACITY BY 2035, SAYS PM

Eye on transmission bottlenecks, Cabinet clears green energy plan

Green Energy Corridor Ph-III: Evacuation of 135 GW renewable energy across states, first dedicated battery storage component

Pratyush Deep
New Delhi, September 30

THE UNION Cabinet on Wednesday approved the Green Energy Corridor Phase-III (GEC-III) scheme, aimed at enabling the evacuation of up to 135 gigawatts (GW) of renewable energy across states.

The scheme, with a total outlay of Rs 1,86,405 crore and targeted for completion by FY 2032-33, is aimed at tackling a festering problem in India's power sector — even as peak power demand has been surging to record highs, grid operators have been forced to curtail electricity generated by solar power sources due to transmission bottlenecks.

Along with the development of the intra-state transmission system (InSTS), the scheme, for the first time under the GEC programme, includes a dedicated battery energy storage component, with provisions for deploying 50 GWh (gigawatt-hour) of Battery Energy Storage Systems (BESS) at renewable energy developer/generator sites or other locations of importance to the grid.

As per the government, the storage capacity is intended to address intermittency, transmission congestion and peak-hour curtailment, while helping meet demand during non-solar hours. In a post on X, Prime Minister Narendra Modi said: "Cleaner power. Stronger grids. More opportunities. The Cabinet decision on the Green Energy Corridor Phase-III will ensure: 135 GW renewable energy evacuation; 50 GWh battery storage; stronger power grids across States and UTs; more jobs in manufacturing, construction and energy storage; big push towards 900 GW non-fossil capacity by 2035."

Of the total outlay, Rs



Union Minister Ashwini Vaishnaw during the Cabinet briefing in New Delhi on Wednesday. ANIL SHARMA

1,36,378 crore has been earmarked for developing intra-state transmission systems, while Rs 50,000 crore has been allocated for 50 GWh of BESS. The scheme will involve total central financial support of Rs 54,082 crore.

"The central financial assistance (CFA) will help in offsetting the intra-state transmission charges and thus keep the power costs down. Thus, the government support will ultimately benefit the end users — the citizens of India," the government said. "All green-field projects under the InSTS component will be implemented through Tariff Based Competitive Bidding (TBCB) mode, while brownfield upgradation and network strengthening works will be executed under Cost Plus Basis (CPB). The State transmission utilities will be the overall implementing agency, and transmission service providers (TSPs) will participate under TBCB on a Build-Own-Operate-Maintain (BOOM) model."

The inclusion of the battery component in the scheme comes as India's rapidly expanding renewable energy sector is grappling with a major challenge of transmission con-

straints. Close to 21 GW, that is about 9% of the country's installed renewable energy capacity, is currently transferred from plants through temporary grid connections while awaiting dedicated transmission infrastructure. Of this, around 12 GW faces restrictions on evacuation during periods of peak solar generation, exposing developers to revenue losses and raising concerns over the financial viability of several projects.

In FY 2025-26, around 6,900 GWh of clean electricity faced restrictions due to a mismatch between the rapid pace of renewable energy deployment and commissioning of associated transmission infrastructure, latest government data shows.

In another decision related to the energy sector, the Union Cabinet approved the continuation of the targeted subsidy of Rs 300 per 14.2 kg domestic cooking gas cylinder for beneficiaries of the Pradhan Mantri Ujjwala Yojana (PMUY) for FY 2026-27. The subsidy, which will be prorated for 5 kg cylinders, is estimated to lead to an expenditure of Rs 12,001 crore. As on September 1, the country had 10.57 crore PMUY beneficiaries.

FULL REPORT ON
WWW.INDIANEXPRESS.COM

Govt approves MSPs for rabi crops, wheat hike at 17-year-low

Harikishan Sharma
New Delhi, September 30

THE CENTRE announced Minimum Support Prices (MSPs) for six rabi crops for the 2027-28 season on Wednesday, with wheat — India's second-largest crop by acreage — receiving a 17-year-low hike of just Rs 25 per quintal, a marginal 0.97% increase.

The Cabinet Committee on Economic Affairs (CCEA) made the decision "to ensure remunerative prices to the growers for their produce," a statement read. The MSP of wheat is fixed at Rs 2,610 per quintal. The Rs 25 hike in the wheat MSP is the lowest in absolute terms since 2010-11. Last year, the government had hiked the MSP for wheat by 6.6% to Rs 2,585 per quintal.

On this marginal hike, Union Minister of Agriculture and Farmers Welfare Shivraj Singh Chouhan said, "Wheat stocks are overflowing. We possess many times the amount actually required. Justice will be done to the farmers. Productivity for crops like pulses is very low, and efforts are being made to encourage their cultivation."

The approved MSP is 106% of the cost of cultivation per quintal of wheat, Chouhan said. The average annual area under wheat cultivation stood at 31.52 million hectares over the past five years. The modest increase in wheat MSP this year is significant, especially given that major wheat-producing states, such as UP and Punjab, hold their assembly elections early next year.

Wheat is one of the six officially mandated rabi crops in India under the government's MSP system. The others are safflower, rapeseed and mustard,

Says CCEA made the decision 'to ensure remunerative prices to growers for their produce'

lentil, barley, and gram. Among the six, safflower saw the biggest hike in absolute and percentage terms, as its MSP increased by Rs 675, or 10.32%, to Rs 7,215 per quintal from Rs 6,540 per quintal announced last year.

The MSP of rapeseed and mustard for the 2027-28 season is fixed at Rs 6,613 per quintal, up by Rs 413, or 6.66%, from Rs 6,200 per quintal last year; and lentil (masur), at Rs 7,390 per quintal, up by Rs 390, or 5.57%, from Rs 7,000 last year. The MSP of barley is at Rs 2,286 per quintal, up by Rs 136, or 6.33%, from Rs 2,150 per quintal announced last year; and gram, at Rs 5,958 per quintal, up by Rs 83, or 1.41%, from Rs 5,875 per quintal.

Union Minister Ashwini Vaishnaw said that the government's procurement in the upcoming season will be 324 lakh tonnes and that farmers will receive Rs 90,962 crore in MSP across the six rabi crops.

In a separate development, Chouhan approved the procurement worth Rs 5,547.99 crore at MSP under the Price Support Scheme (PSS) for the Kharif season 2026-27 in UP, Karnataka and Telangana. UP got the largest share (Rs 3,992 crore) of this approved procurement at MSP for 4,66,000 metric tonnes of pigeon pea (tur) and 6,250 metric tonnes of (green gram) moong. Karnataka received Rs 1,107 crore, and Telangana, Rs 448 crore.

Monsoon ends with 13% rain deficit, driest year in a decade

Anjali Marar
Bengaluru, September 30

THE MONSOON season ended on Wednesday with a 13 per cent deficit in overall rainfall, the largest in more than a decade. India Meteorological Department (IMD) said rainfall over the country as a whole during the four-month monsoon season was 87 per cent of long-period average, or LPA.

In quantitative terms, India received 759.4 mm of rainfall against the LPA of 868.6 mm. LPA is the average rainfall received in the monsoon season over the 50-year period between 1971 and 2020.

The 13 per cent deficit makes this monsoon the driest in 11 years, the fourth driest in this century, and the 13th driest since 1901.

The last time seasonal rainfall fell below 90 per cent of LPA was in 2015, which was also affected by a strong El Nino in the equatorial Pacific Ocean. El Nino, which refers to an abnormal warming of surface waters in the equatorial Pacific Ocean, is known to suppress rainfall over India. The opposite phase, La Nina, when the surface waters are cooler than normal, generally favours good rainfall. This year, the developing El



Even as seasonal rain was reportedly below normal, several regions like Ghatal Town, in Paschim Medinipur in West Bengal, reported flooding following heavy rain. ANI

Nino is expected to turn into the strongest ever.

In the last ten years, there have been only two occasions when the monsoon rain has dropped below normal (96 to 104 per cent of LPA). In 2017, India had received 95 per cent rain while the following year it was 91 per cent.

Three of the four months of the season saw large deficits of rainfall. June had a deficit of more than 35 per cent, while August and September had shortfalls of 16.3 per cent and 76 per cent respectively. Only July received normal rainfall, about 1 per cent more than the LPA.

Punjab, Assam, Meghalaya

and Arunachal Pradesh recorded deficient rainfall throughout this season, while parts of Marathwada, Vidarbha, north Karnataka experienced prolonged dry spells through July, August and September, IMD officials said.

Over 38 per cent of the country's area, or 282 districts, received deficient rain while 312 districts received normal rain.

The impact of El Nino was expected to be stronger in the second half of the monsoon season. However, many areas of the country, except southern peninsular India, continued to receive normal to above normal rainfall.

The rainfall during June - September is also influenced by the Madden Julian Oscillation (MJO) and local low pressure systems. After June, there were several low pressure systems that developed in the Bay of Bengal and their subsequent landward movement maintained the rainfall momentum over many parts of central Indian regions.

"Rainfall activity continued due to the formation of low pressure systems. This year, there were 77 days against a normal of 57 days, when the country remained under the influence of low pressure systems," explained Mrutyunjay Mohapatra, director general, IMD.

MJO, which is a band of rain-bearing clouds with a periodicity of about 30-60 days, remained unfavourable over southern India.

"Being El Nino year, MJO could not contribute much to the seasonal rainfall. The influence of MJO on the rainfall over the southern peninsular is generally high," IMD chief said. All southern states have ended with deficit rainfall this season.

The ongoing El Nino is forecast to touch peak in November this year and the event is likely to cease by March 2027.



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Smart Cities Mission was a dream.
That's the problem with our urban
vision. — *Fahad Zuberi*
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● **WORDLY WISE**
I have always imagined that Paradise
will be a kind of library.
— *Jorge Luis Borges*



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INVOLVES US ALL

A surprise visit, and a Gulf too wide

THE PERCEIVED threat from Iran and a desire for economic cooperation pushed Israel and the United Arab Emirates (UAE) to sign the Abraham Accords in September 2020, after which their relationship has been characterised by limited public engagement and discreet diplomacy. That is why Israeli Prime Minister Benjamin Netanyahu's recent trip to Abu Dhabi, his second since the start of the West Asia war in late February, is significant. It comes against a backdrop of a changing regional dynamic: Iran's weakening grip on the Strait of Hormuz and signs of a thaw between the UAE and Saudi Arabia — a relationship that had deteriorated in recent months over their economic competition and involvement in civil wars in Yemen and Sudan. The visit also comes amid a major political row in Israel ahead of the October election over reports that UAE President Sheikh Mohamed bin Zayed Al Nahyan had warned Netanyahu of an impending Hamas attack just days before October 7, 2023 — a claim the Israeli PM has denied.

Taken together, these developments point to countries in the region increasingly carving out their own paths as the US and Iran negotiate or escalate. Iran's retaliation — pummelling Gulf countries with drones and missiles, with the UAE hit the hardest — has underscored the limits of relying solely on the American security umbrella. But the story is far from over. A sustained rise in crude exports from West Asia in September also means that Tehran could look for other ways to maintain its leverage over Washington. Indeed, Speaker of Iran's Parliament Mohammad Bagher Ghalibaf said this week: "Where we do not sell oil, no one will sell oil." For the UAE, which has acquired air-defence systems and counter-drone capabilities from Israel that its Arab allies did not provide, the lesson is that it needs partners capable of providing hard security. For Israel, a cooperative Arab partner across the Persian Gulf offers both strategic depth and diplomatic value, strengthening the broader architecture of the Abraham Accords at a time when its war on Gaza has been globally condemned.

The emerging alignment, however, carries a contradiction of its own. Israel may offer the UAE weapons, but that does not resolve the conflicts that continue to destabilise the region, many a result of Israel's own military adventurism, as in Lebanon and Syria. Nor can the Abraham Accords indefinitely remain insulated from the Palestinian question; Israel's war in Gaza and settlement expansionism in the West Bank continue to shape Arab public opinion. The UAE and Israel may, therefore, have strong reasons to deepen their relationship. But without a political framework that addresses regional tensions in the long run, the stability and security they seek will remain elusive.

A library without a home speaks of a larger absence

THE CENTRAL Secretariat Library (CSL) predates the republic. Established in 1891 as the Imperial Secretariat Library in Calcutta, it moved with the capital to Delhi and was renamed after Independence. Its collection runs to over 8.5 lakh books and documents, including material dating back to 1702. It is, in other words, a working archive of the Indian state, a repository of institutional memory. Yet, as a report in this newspaper has shown, with Shastri Bhawan, its home since 1969, set to make way for the Central Vista redevelopment, the library is yet to find a new space. A government that is building a new administrative centre is also making a statement about what belongs at the centre of public life. That a project of such scale and ambition should leave an institution of archival importance without a secure home is a troubling statement of priorities.

As a long-term project involving some of the country's most storied buildings, relocation could not have been an unforeseen complication. As early as 2023, the Culture Ministry had sought commensurate space in the new Common Central Secretariat that is at the heart of the Central Vista redevelopment project. Public discourse and expert opinion around the demolition of the National Archives Annexe and the relocation of the National Museum's collections to the Yuge Yugeen Bharat Museum, coming up in the North and South Block buildings, have underscored why proper inventories and cataloguing, conservation facilities, climate-controlled storage for fragile and rare material, digitisation, trained staff and access are crucial to the preservation and upkeep of objects of national inheritance. Such provisions should, in fact, have been integral to the project from the outset.

There is also a cautionary precedence in its own history that shows that when institutions are displaced without a durable plan, temporary arrangements can lead to permanent absences. CSL's regional languages section, the Tulsi Sadan Library, was temporarily shut for the construction of the Mandi House Metro station in 2011, its contents housed in the National School of Drama premises. The library is shut to this day. The government must ensure that a similar fate does not befall the CSL.



M A BABY

India can be one more country jostling for favours in Washington, or it can reclaim the role it once played — the moral voice of nations that were told their place in the world and refused to accept it



In aftermath of BRICS, going back to Bandung

IN APRIL 1955, leaders of 29 newly independent Asian and African countries gathered at Bandung in Indonesia. Most of their nations had been colonies a decade earlier. They agreed on 10 principles — most importantly, sovereignty, non-interference, refusal to join great-power military blocs and support for peoples still under colonial rule. Six years later, at Belgrade, that spirit became an institution — the Non-Aligned Movement.

NAM was never merely about staying neutral; it was a platform for the decolonisation of the world. It stood with Algeria and Vietnam, with the struggle against apartheid in South Africa, with the peoples of Palestine. In the 1970s, it carried the demand for a New International Economic Order into the UN — fair prices for what poor countries produced, access to technology, and a voice in institutions designed without them.

India was NAM's founder and, for decades, its moral centre. After the Soviet Union collapsed, the world became unipolar, and NAM lost its compass. Many of its members, including India, drifted towards Washington. NAM survives in name; its purpose has been abandoned.

Into this vacuum has come BRICS. Formed in 2009, it now represents more than half of humanity. The 18th Summit in New Delhi earlier this month produced a 140-point declaration that reads, in places, like an echo of Bandung — reform of the Security Council, the IMF, the World Bank and the WTO; condemnation of unilateral sanctions; an end to the blockade of Cuba; a Palestinian state on the 1967 borders with East Jerusalem as its capital; climate finance for countries that did not cause the climate crisis.

But let's be honest, BRICS is not the heir to NAM's anti-colonial mission. Its members have very different systems and interests, and several are close partners of the US. That is why the declaration condemns "unilateral coercive measures" without naming who imposes them, and calls for "maximum restraint" in West Asia without naming the aggressor. These silences are the price of consensus. BRICS seeks a world with more than one centre of power. It does not seek to end domination

itself. It wants to reform the dollar-centred order and says nothing about the debt that consumes the budgets of poor nations.

This limited project matters, and the Global South has every reason to strengthen it. When tariffs are used as a weapon and sanctions on one country disrupt the trade of many, alternatives count. Trade settled in national currencies, development finance without strings, a reserve arrangement outside the IMF — these give governments room to breathe. The more members BRICS has and the stronger its institutions, the harder it becomes for any single power to dictate terms to everyone else.

Which brings us to India, which has now hosted the BRICS summit while behaving as a junior partner of the US. It has deepened military and trade arrangements with Washington aimed at containing China. It maintains a strategic embrace of Israel while signing a declaration on Palestinian statehood. It has been silent on American actions against Iran, Venezuela and Cuba, and has refused to unambiguously condemn the destruction of Gaza.

Surveys across West Asia have consistently ranked Israel and the US as the greatest threats to the region's security. New Delhi has placed itself on the wrong side of the very region it wants to court. And before the summit, the government hid the capital's slums behind screens. One cannot lead the Global South while dancing to Washington's tune and hiding one's own poor.

India has a choice. It can be one more country jostling for favours in Washington, or it can reclaim the role it once played — the moral voice of nations that were told their place in the world and refused to accept it. That means a foreign policy free of American pressure, solidarity with Palestine, opposition to sanctions, insistence that the rich countries pay their climate debt, and a push to make BRICS more than a lobby for a better seat at the table.

Bandung was never about balancing between great powers. It was about asserting the right of peoples to decide their own destinies. That is anti-imperialism in plain words, and it remains the way forward.

The writer is general secretary, CPI(M)



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• LEGAL

‘Public view’: Why HC said SC/ST Act covers online slurs

Amaal Sheikh
New Delhi, September 30

THE CALCUTTA High Court has held that casteist slurs on social media can attract provisions of the SC/ST (Prevention of Atrocities) Act, 1989, observing that “public view” under the law is not confined to physical spaces. A single bench of Justice Uday Kumar said the requirement of “public view” under Sections 3(1)(r) and 3(1)(s) of the Act “transcends physical space into the digital domain”. The ruling comes weeks after the Supreme Court reiterated that not every caste-related remark amounts to an offence under the Act and that courts must closely examine whether its statutory requirements are satisfied.

What the law says

Sections 3(1)(r) and 3(1)(s) of the SC/ST Act criminalise intentionally insulting, intimidating or abusing a member of a Scheduled Caste or Scheduled Tribe by caste name “in any place within public view”. To establish these offences, three elements are required: the accused should not be a member of an SC or ST community, the act must be intended to humiliate the victim on the basis of their caste, and the incident must occur in a place “within public view”. Digital cases turn on the third requirement. The Supreme Court in *Hitesh Verma v. State of Uttarakhand* (2020) held that “public view” means a place where members of the public can witness or hear the alleged utterance. “If the alleged offence takes place within the four corners of the wall where members of the public are not present, then it cannot be said that it has taken place at a place within public view,” it said.

‘PUBLIC VIEW’ IN THE DIGITAL AGE

- A key element required to establish offences under SC/ST Act is that the incident must occur ‘within public view’.
- Calcutta HC said this element can go beyond physical space. Kerala HC, too, said in 2022 that the Act’s interpretation must keep pace with tech advances.

“depends upon whether the alleged utterance was made in circumstances in which members of the public could witness or hear it”. It said “the mere fact that the occurrence took place within the premises of a school does not, by itself, satisfy this requirement”.

What the Calcutta HC held

The petitioner, a member of a Scheduled Caste, complained that two men from general caste communities had used casteist expletives against him on Facebook. Police later filed a closure report, saying Facebook had not provided user details. The complainant filed a petition against that closure in a special court at Alipore, which rejected it. The HC set aside the order, describing the special court’s reasons as “perverse” and pulling up the police. On the question of public view, the court held that it “transcends physical space into the digital domain”.

What other courts have said

The Kerala HC in *Sooraj V. Sukumar v. State of Kerala* (2022) said courts cannot interpret the law as if society had remained unchanged since its enactment. It described the SC/ST Act as an “ongoing statute” and observed that statutes may have to be interpreted to accommodate technological advances. A restrictive reading could defeat the purpose of law.

• CLIMATE

Rising sea level threat to India’s eroding coastline



EXPERTS EXPLAIN
SHIVANG AGARWAL
& NIMISH SINGH

ON 24 September, the UN General Assembly adopted its first ever declaration on rising sea levels, which pose an existential threat to populations around the world. The rise in sea levels has been “accelerating” (to quote the declaration) for some time now. The rate of global rise more than doubled from 2.1 mm a year in 1993-2002 to 4.7 mm a year in 2015-2024, according to the World Meteorological Organization. In 2024 alone the sea rose 6 mm, the largest annual increase on record. Much of what is coming is locked in. Even on the lowest-emissions path, global sea level will rise about 38 cm by 2100 above its level of the early 2000s, according to ‘Surging Seas in a Warming World’, a 2024 technical brief from the UN Secretary-General’s Climate Action Team. If emissions keep climbing, the brief puts the figure at about 77 cm. The brief says the sea will keep rising for centuries to millennia even if the world reaches “net zero”. Amid these scenarios, the declaration focuses on the loss of territory faced by vulnerable countries — such as the island nations of Tuvalu and Kiribati in the Pacific, as well as the Maldives. Importantly, it also asks nations to build sea-level rise projections into the planning and design of their coastal infrastructure — which is where India has work to do. Let us look at both aspects.

Can a country retain its statehood even if it loses its territory? Under the 1933 Montevideo Convention, a State is defined using four main criteria: a permanent population, a defined territory, a government and the capacity to enter into relations with other states. But if rising sea levels swallow a State’s “defined territory”, or render it uninhabitable for a “permanent population”, does it still remain a state? This is the question the UN declaration attempts to settle. Indeed, it affirms that a country stays a country when the sea takes its land. The declaration mentions a “presump-



Coastal erosion in Tamil Nadu. A report says 45 mn Indians may be at risk from sea level rise by 2050. WIKIMEDIA COMMONS

tion in favour of continued statehood”, so such a country keeps its sovereignty, its rights and its seat at the UN. Crucially, such a country would also maintain its nautical boundaries — which are calculated from the coast — even when the coastline retreats. For people who lose their homes, the declaration asks countries to respect their human rights and to “encourage strengthened international cooperation to assist persons affected”. One example of this is already underway. By December 2025, over a third of Tuvalu’s 11,000-strong population had applied for climate visas to migrate to Australia under a bilateral treaty.

What does India gain from a promise for small islands? At the meeting, Sibi George, Secretary (West) in the Ministry of External Affairs, welcomed the declaration and backed stable maritime zones and continuity of statehood. He also reaffirmed equity and “common but differentiated responsibilities and respective capabilities”, the principle that every country must act on climate change, while those that caused more of it and can afford more should do more. India has its own stake in the text. A 2023-24 remeasurement counts 1,298 offshore islands and islets and a coastline of 11,098 km. Lakshadweep and the Andaman and Nicobar Islands carry India’s boundaries at sea far into the Arabian Sea

A key provision in declaration
Countries can maintain nautical boundaries, which are calculated from the coast, even when it retreats.

- Lakshadweep and Andaman and Nicobar Islands carry India’s nautical boundaries far into sea.
- So, a pledge to keep those nautical boundaries fixed protects India’s waters.

and the Bay of Bengal. So, a pledge to keep those nautical boundaries fixed protects India’s waters as well as the Pacific’s.

Is India’s own coast ready? The government’s National Centre for Coastal Research tracked the whole mainland shoreline between 1990 and 2016 and found that about a third of it was eroding. Nationally, the losses and gains are roughly balanced, with 234 sq km lost to erosion and 231 sq km gained elsewhere. The losses, however, are concentrated: the assessment finds nearly 400 km of coast retreating by more than 5 metres a year, and another 225 km by 3 to 5 metres. West Bengal alone has more than 170 km in the fastest category, about a third of its coast. Under the 2019 Coastal Regulation Zone notification, the strip where nothing new may be built is 50 metres wide in densely populated rural areas once a state’s coastal plan is approved, and 200 metres elsewhere. Both are measured from the high-tide line — which the notification defines as the line the highest spring tide reaches today. So, on a stretch losing 5 metres a year, a house approved 50 metres from today’s high-tide line would stand at the water’s edge in about ten years if the retreat continues. Even a 200-metre strip would last about 40 years. The Survey of India has mapped a better line, a hazard line, that takes in sea level rise and shoreline change, and it has been shared

The UN’s first declaration on rising seas focuses on threatened island nations & urges countries to factor sea-level rise in coastal infra — an area of note for India

with the coastal states. The 2019 rules use it as “a tool for disaster management plan” and for land-use planning, while the no-build strip is still measured from today’s tide. The declaration India supported recognises the need to build sea-level projections into the planning of coastal infrastructure.

Where does India fall short? In the Sundarbans, for instance, the loss has already happened. According to India Water Portal, Ghoramara island shrank from about 7.2 sq km in 1972 to 3.6 sq km in 2022. Families who had moved there from neighbouring Lohachara, which disappeared in the early 2000s, were displaced again within a decade, and those relocated were moved to marginal land without secure tenure or livelihood support. Indian law has no clear category for people who lose land gradually to erosion, so each relocation is decided case by case. A 2025 review in *Frontiers in Marine Science* journal estimates that 45 million Indians will be at risk from sea level rise by 2050 and notes that India “still lacks comprehensive legislation” to deal with these risks. Fiji has shown one way: It wrote relocation into its Climate Change Act in 2021, with a trust fund to pay for it.

What should India do before the UN meets again? The declaration schedules another high-level meeting on sea level rise by September 2030, which gives India four years to show results. It can start by measuring the no-build strip from the hazard line, or widening it by the local erosion rate, beginning with the stretches the National Centre for Coastal Research shows retreating fastest. It also needs a law for people displaced slowly by erosion and rising water, one that gives relocated families land title and livelihood support at the new site. And it should keep pressing on money. The declaration calls for scaled-up finance and “timely and predictable disbursement”. The UN Environment Programme puts developing countries’ adaptation needs at over \$310 billion a year by 2035, against \$26 billion of international public adaptation finance in 2023. At the Baku climate summit in 2024, India objected to the new goal of \$300 billion a year by 2035 as “too little and too distant”. It should press the same case at COP31 in Antalya in November.

Agarwal is Senior Fellow at the Institute for Governance & Sustainable Development; Singh is Director, Science, Gateway Research Foundation.

• ECONOMICS

US Treasury yields at 25-yr high: What are bond yields, what happens when they rise



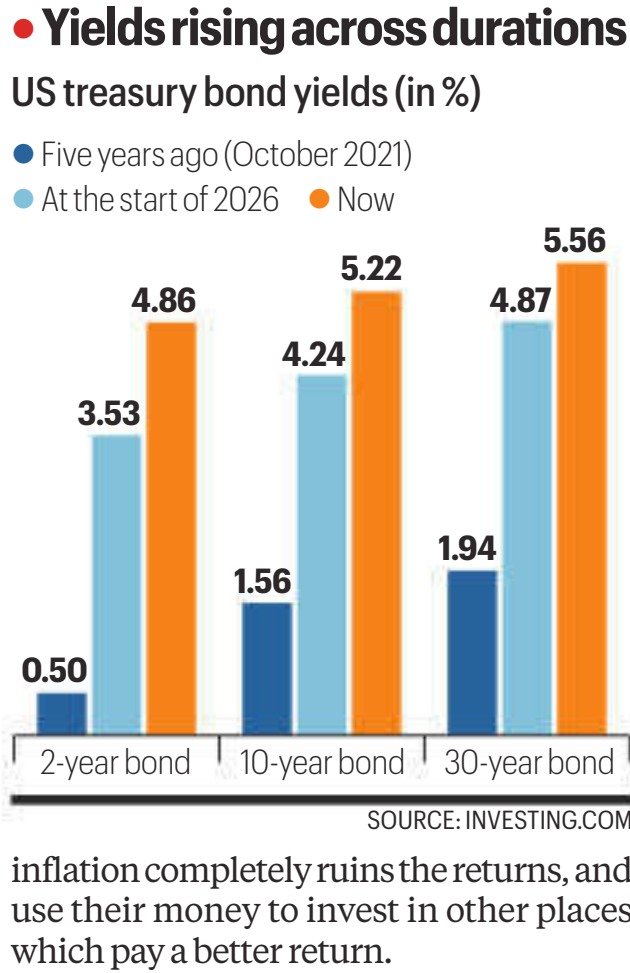
GRAPHS, DATA, PERSPECTIVES
BY UDIT MISRA

WEEKLY ECONOMIC AND POLICY INSIGHTS USING DATA

THE YIELD on the 30-year US Treasury bond hit the highest level in around 25 years on Tuesday. This instrument is an IOU (I owe-you) document used by the US government to borrow money from the market. The yield denotes the return on investment that a lender can expect when loaning the money to the government for a particular length of time. So a 30-year bond refers to a loan the government repays over that same period. Governments borrow money for all kinds of durations, ranging from a few days to several years. As the chart shows, yields have been rising not just for long-term borrowing but across all durations.

Reasons

But why are bond yields going up? Doesn’t the government say upfront how much it will pay? When a government borrows it stipulates an exact amount — called the coupon — that it will pay at the end of each year to the bondholder (or lender). But, government bonds, especially those issued by the US government, are heavily traded in the secondary market, and it is in this trade that yields start shifting. Imagine the US government floating a one-year bond of \$100 with a coupon of \$10. In other words, the lender will get \$110 at the end of the year. The rate of return is 10%. But suppose that soon after launching the bond, the US starts a war that spikes inflation — as it has done this year. Inflation basically means your money is worth less and less with the passage of time. As inflation starts to go up, it threatens to eat away or reduce the real value of that \$10 the lender was supposed to get at the end of the year. In such a case, the lender will try to sell the bond in the secondary market before



But given the rising inflation, other participants in the bond market may not be willing to pay \$100 for the same bond anymore. Instead, they may offer a lower price. That’s because at a lower price of the bond that same \$10 “yields” a higher rate of return at the end of the year. As the price of the bond falls, based on what market participants demand as an acceptable rate of return, the yield rises. While this is not an exact example, it shows what has been happening lately. Investors are demanding higher rates of return in nominal terms because inflation is threatening to eat into real returns (the returns after taking away the effect of inflation). Apart from inflation concerns, just the sheer increase in the demand for loans (by governments and businesses around the world) is also pushing up what lenders want as returns.

Implications Rising yields on US bonds have two broad implications. **ONE**, it signals higher borrowing costs

for the US government. In other words, if yields on existing bonds are rising, the US government will have to match them when it goes to the market to borrow again. Like any other government, the US government, too, routinely goes to the market to borrow money — either to meet some new expenditure or to pay back old debt that is maturing. Either way, higher borrowing costs typically imply that a larger portion of the US budget would have to be spent towards paying interest. That, in turn, leaves less money available for other priorities — say providing social security for US citizens. Thanks to the US government’s increased borrowing each year (called the annual budget deficit) pushing the pile of existing debt to over \$40 trillion as well as rising bond yields, the total annual outgo towards interest payments from the annual budget has ballooned from around \$600 billion before the Covid-19 pandemic to \$1.2 trillion as of 2025. **TWO**, higher yields for the US govern-

ment also signal higher borrowing costs for every other government and business, including higher interest rates on home loans. Since lending money to the US government is the safest lending one can do — because everyone believes the US government will always pay back and never default on its debt — if the yield on US government bonds rises, it typically means all other kinds of loans also become costlier. In other words, lenders demand even higher returns for giving loans to other governments and businesses since they are all riskier than lending money to the US government. It doesn’t help matters that this is not a US-only problem at the moment: Governments of most of the big economies have high levels of debt and even companies, especially in the artificial intelligence domain, are set to borrow heavily to fuel the next stage of their growth. Higher borrowing costs across the board threaten to drag down economic activity, and that is why rising bond yields are bad news in the current context.

NUMBER OF FACTORY WORKERS IN INDIA ROSE 7% TO 1.67 CR

Factory wages rose 5% in FY25, but fell in Jharkhand

Siddharth Upasani
New Delhi, September 30

JHARKHAND WAS the only state whose factory workers were paid less, on average, in 2024-25 compared to the previous year, with government data released Wednesday showing wage per worker in the eastern state fell 5.2%. In contrast, factory wages rose 5.3% nationally to Rs 2.28 lakh in 2024-25, up from Rs 2.16 lakh in 2023-24, according to the Annual Survey of Industries.

To be sure, factory workers of Jharkhand are paid far more than the national average, with *The Indian Express*' calculations showing that average wage in the state was Rs 3.04 lakh in 2024-25, third only to Sikkim's Rs 4.06 lakh and Goa's Rs 3.14 lakh.

In fact, wages in Jharkhand were the highest in 2022-23 and 2023-24, at Rs 3.17 lakh and Rs 3.2 lakh, respectively. As a result, the fall in 2024-25 seems to be a correction as high wages in the state attracted more workers.

In 2024-25, the number of factory workers employed in Jharkhand rose 9% to 2.08 lakh – even though the number of factories reduced by nine to 2,880. Meanwhile, the average wage in Jharkhand's neighbour Bihar jumped 16.7% – the highest of any major state – to Rs 1.63 lakh in 2024-25. However, this was driven by a 2% fall in the number of workers to 1.15 lakh, with the number of factories edging up by 1% to 3,426.

The Annual Survey of Industries (ASI), conducted by the Ministry of Statistics and

● Factory wages, growth in best paying states



SOURCE: MOSPI

Programme Implementation (MoSPI), is one of the most important surveys in the country and covers the formal manufacturing sector. Its results provide insights into how the country's – and each state's – manufacturing industries are changing and are key in calculating the GDP and formulating government policy.

Worries in Gujarat?

The results of the 2024-25 ASI are based on inputs from 86,547 units, with MoSPI estimating that the number of factories in India rose 2.6% in 2024-25 to 2.7 lakh. In 2023-24, the number of factories had risen by 2.7%. As such, this is the first time in more than a decade that the number of factories has increased by more than 2% in successive years.

With 12.8%, Uttar Pradesh saw the largest increase in the number of factories in 2024-25 to 24,964. However, Tamil Nadu (41,221), Gujarat (33,084), and Maharashtra (27,379) were ahead in the number of factories. While Tamil Nadu and Maharashtra saw a 3% rise in

factories in 2024-25, Gujarat saw a 1% reduction.

These changes led to Uttar Pradesh raising its share of factories in the country by almost a full percentage point to 9.4%, the highest increase of any state in 2024-25. Meanwhile, Gujarat's share fell the most – by 0.4 percentage points – to 12.4%.

Tamil Nadu continues to have the highest share of factories in the country, with the figure unchanged at 15.4%.

The story was similar in terms of the number of workers, with Uttar Pradesh seeing a 14% rise, second only to Haryana (15%) among major states. Tamil Nadu continues to have the highest number of factory workers in India, having seen a rise of 5% in 2024-25 to 26.1 lakh. At an all-India level, the number of workers increased 7.3% to 1.67 crore in 2024-25.

Uttar Pradesh also saw above-average wage growth of 6.7% in 2024-25, as did Maharashtra (6.1%) and Tamil Nadu (5.6%). In Gujarat, wages only rose 2%, less than half the all-India average of 5.3%.



US direct investment stock in India reached \$58.54 billion in 2024, a 3.37% decline from 2023. REUTERS

‘Economic nationalism, corruption are barriers to investment in India’

Ravi Dutta Mishra
New Delhi, September 30

A NEW US Department of State

regulatory systems — as barriers to FDI, adding that US direct investment stock in India reached \$58.54 billion in 2024, a 3.37% decline from 2023. REUTERS

New efficiency norms: What will change for OEMs, small cars & SUVs

Soumyarendra Barik
New Delhi, September 30

INDIA'S NEW fuel-efficiency rules for passenger vehicles will force carmakers to increasingly manage the efficiency of their entire vehicle portfolio, rather than individual models, from April 2027. The final Corporate Average Fuel Economy (CAFE)-III framework, notified on September 29, has introduced a new formula to relax norms for smaller cars, while doing away with an earlier proposed special concession for the category, and gives electric vehicles the biggest compliance benefit.

The CAFE norms will apply from April 1, 2027, to March 31, 2032. They cover M1 category passenger vehicles manufactured or imported for sale in India. At the heart of the system

is a fleet-wide calculation: a manufacturer's permitted fuel consumption is determined by the weighted average unladen weight of the vehicles it sells.

This means a carmaker selling a large number of lighter vehicles and one selling predominantly SUVs do not face exactly the same target. The heavier the average fleet, the higher the permitted fuel consumption.

An important change from earlier proposals is not just the broadbasing of a small-car concession provided in earlier draft. The underlying weight equation has also been altered. Earlier versions had used a lower reference weight (1,170 kg) and a steeper annual multiplier. So the final framework does not create a separate regulatory category for cars

below 909 kg. Instead, the effect of vehicle weight is built into the broader fleet formula.

Small vs big car debate

The small-car question became one of the most contentious parts of the CAFE-III process because India's market is dependent on compact, relatively light petrol cars — with carmaker Maruti Suzuki having an oversized presence in the small cars' space. The treatment of small cars had emerged as one of the biggest points of contention during the drafting of CAFE-III. A September 2025 draft subsequently proposed an additional 3 g/km benefit for petrol cars weighing up to 909 kg. Some rival carmakers opposed the carve-out, arguing that it would disproportionately benefit a segment

dominated by the country's largest car maker. However, now, the final rules do not give a separate 3 g/km benefit to cars below the 909-kg threshold. But that does not mean the final formula treats a small car and a large SUV identically. Weight remains central to the calculation. A lighter fleet has a lower permitted fuel-consumption figure, while a heavier fleet gets a higher one. The new norms have been welcomed by carmakers. "It is a comprehensive regulation arrived at after scientific data calculations and detailed stakeholder and inter-ministerial consultation with ambitious targets for energy efficiency improvement and CO2 reduction. The regulation recognizes the contribution of multiple powertrain technologies and

E. lighter fleet has a lower permitted fuel-consumption figure, while a heavier fleet gets a higher one. The new norms have been welcomed by carmakers. "It is a comprehensive regulation arrived at after scientific data calculations and detailed stakeholder and inter-ministerial consultation with ambitious targets for energy efficiency improvement and CO2 reduction. The regulation recognizes the contribution of multiple powertrain technologies and

fuels encouraging multi-faceted R&D and innovation," said Rahul Bharti, senior executive officer, corporate affairs, at Maruti Suzuki.

"The norms provide a clear and predictable regulatory roadmap through a 3+2 year compliance block structure, enabling manufacturers to undertake long-term product and technology planning with greater certainty," said Tarun Garg, MD and CEO, Hyundai Motor India.

EVs enjoys the edge

The biggest powertrain-specific benefit in the final rules goes to battery-electric vehicles. However, the norms do open up multiple energy pathways for carmakers to balance out their overall fleet emissions.

"The framework recognises the contribution of renewable

and low-carbon fuels, including ethanol-blended petrol, biofuels and CBG, through the introduction of the Carbon Neutrality Factor. This provides manufacturers with an additional pathway for improving their fleet-level CAFE performance, alongside vehicle efficiency improvements and electrification. The provision supports India's broader transition towards cleaner fuels while encouraging innovation across multiple technology pathways," the Ministry of Power said in a statement. A battery-electric vehicle and a range-extended electric vehicle get a volume derogation factor of 3. In effect, one such vehicle contributes three times its actual sales volume when the manufacturer's fleet performance is calculated. FULL REPORT ON WWW.INDIANEXPRESS.COM

